

Panel data and WRDS

Panel Data

- Download stock monthly return data from 2000-2015
- Data source: WRDS
- username: quantdata
 - psw: Quantdata123

- Do the following using the data you just download (see S2) :
 - Clean data: take absolute value of stock price; sometimes remove price<\$5
 - Compute the size (in \$1000) of the stocks (price*shrout)
 - Get the year and month for each date
 - For each stock, calculate its average size over the sample period
 - For each stock, each month (t), get its next month (t+1) return
 - Each month t, rank all stocks into 10 portfolios by its month t market capital
 - Get the equal weighted and market capital weighted average returns at month t+1 for each of the 10 portfolios
 - Get the average returns of the 10 portfolios over the entire time period.

HW2

- Use stock monthly return data (MSF) to complete the following tasks:
 - Clean data: take absolute value of price; remove price < \$5
 - Compute the size (in \$1000) of the stocks (price * shrout)
 - Get the year and month for each date
 - For each stock, get its month t+1 stock return
 - Each month, rank all stocks into 10 portfolios by month t return
 - Get the equal weighted and market capital weighted average returns at month t+1 for each of the 10 portfolios
 - Get the average returns of the 10 portfolios over the entire time period.
 - Get the standard deviation of the returns of each portfolio